



Yield That Scales With Volume

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Emission outruns real revenue about ten to one. The buyback that answers it runs on deposit yield, which falls when the token does. Fuel it with a fee on verified inference volume, and the buyback grows with usage instead of deposits.

The problem, in Morpheus numbers. MOR trades at \$1.58, a market cap near \$14M [verified]. The buyback is real and well built: 75% of captured yield buys MOR for burn, a sixteen-year lock, and the liquidity Safe, about \$511K over the trailing year [verified]. The fuel is the problem. It is Lido and Aave yield on third-party deposits, about \$476K/yr and falling: \$3.24M per quarter at the 2024 launch, a fraction of that now [verified]. Emission runs \$5–6M/yr against it, about ten to one [verified]. The fuel is tied to the wrong variable. A weaker token lowers deposit incentive, lowers yield, shrinks the buyback. Fuel and token fall together.

The fix, named to a repo. Change what the buyback runs on. Add a fee on verified inference volume and route it into the same three sinks. Settlement today is `pricePerSecond` times elapsed seconds on a provider-signed receipt (`SessionRouter.sol:264`) [verified]. The receipt signs `inputTokens` and `outputTokens` (`abi.go:18-19`), but the contract decodes five of seven fields and ignores both (`SessionRouter.sol:237`) [verified]. A fee on that settlement is a fee on the clock, and the clock is fakeable. `mord` makes settlement un-fakeable: faked work earns zero, model substitution is slashed (built, 40 tests pass [verified]). `lux/ai` supplies attestation, quorum, and `SlashProvider` on local nvtrust/SPDM/RIM, no cloud [verified]. Sessions already settle in MOR, so the fee is the buyback asset with no conversion. It is a governed parameter, zero by default.

The outcome, with its assumptions. Take $\tau = 1\%$ of settled revenue, linear [illustrative]. At $\tau = 1\%$, \$51M/yr of verified inference reproduces the \$511K the buyback draws today; matching the \$5–6M/yr of emission needs about \$500M/yr [illustrative]. Volume closes the ten-to-one gap because the fee scales with usage, not with deposits or price. Published Morpheus demand is about zero: no usage, session, or revenue figure appears in 62 repositories [verified]. Our funnel projects 100,000,000+ launch reach [client] to about 2M monthly active, about 40k into a private inference tier, about 20k routed, and 1,000 to 10,000 verified sessions per day near-term, supply-bounded at the 18 providers now live [illustrative]. The low case, 10k sessions per day, already exceeds all current published Morpheus demand [verified].

What Morpheus gets

- A buyback fuelled by inference served rather than deposits held, and external revenue in MOR, the one thing the review found no durable source of.
- One facet on the diamond, one governed parameter, reversible and inert until set.

What we bring

- The verified base the fee reads: `mord` settlement, `lux/ai` attestation and slashing. The demand: `hanzo.chat`, `hanzo/dev`, `lux.exchange`, `lux/wallet` [client].
- Governance and rails behind it: `lux/dao` plus Safe and timelock, `lux/dex`, `lux/liquid`, a KYC base onboarded through Hanzo IAM.

Relevance. The fee needs verified volume and real demand in the same hand. Verification without demand prices nothing; demand without verification fees fake receipts. We hold both, and no other counterparty does. Demand and verifiability land first, token rails second, an L2 and a raise third, into demonstrated on-chain revenue rather than a promise of it.